

message from this book, just as few cared to read the message from *Elliott Wave Principle* in 1978. It is as it must be, and aside from having predicted it, there is nothing I can do about it. "No system or approach will ever be generally embraced unquestioningly for any significant period of time," said *The Elliott Wave Theorist* in 1985. "When the inevitable error occurs, even if those errors average only 20% of the time, people will give up on the approach just in time to miss its next string of successes." I can only add that the situation today is another symptom of the market psychology that is in place for a major trend reversal. As EWT added in December 1985, "It is [bullish] for the market that the majority of readers and listeners keep giving up on my long term forecast. It will be [bearish] if they ever embrace it. Which they won't; at the top, they will be arguing for Dow 10,000!" It had to happen, and it has.

In March 1989, I ceased all public commentary on the market. One reason was an assessment of my increased error potential, stated this way: "Elliott analysis [tells] me to cut back. If my [bearish] conclusions are wrong, there will be no point in continuing to comment publicly, since I would be providing erroneous information." Now, six years later, I believe that my own professional wave pattern has turned up again, and it is time to make a public statement in the form of this book. Despite the wording of my admonition at the start of the bull market, turning bearish too early is actually not the biggest mistake you can make. The biggest mistake you can make is to turn bullish near the top. That is why I wrote this book — to keep you from doing exactly that.

Circuit Breakers and Government Guarantees

One hook that has helped lull investors into complacency is the set of so-called "circuit breakers" that the stock exchange has in place. These mechanisms are designed to curb computer-based trading when markets fall past a certain amount on any given day. For instance, the S&P 500 futures close for half an hour if the index falls 12 points in a session, computer trading is banned if the Dow falls 50 points in a day, and all U.S. stock and futures exchanges are closed down for an hour if the Dow falls 250 points. These trading curbs are intended to give traders a period of calm reflection to consider whether the market has gone too far and whether in fact buying is warranted. Unfortunately for the idea of controlling market psychology, the marketplace has effectively neutered these supposed safeguards to a panic. In September 1993, the S&P futures began